stock at a much higher price than is bid on the stock exchange. When Teledyne was selling for $5, he might have paid $7, and when the stock was at $10, then he was paying $14, and so on. All along he's given shareholders a chance to get out at a fancy premium. This practical demonstration of Teledyne's belief in itself is more convincing than the adjectives in the annual report.

The common alternatives to buying back shares are (1) raising the dividend, (2) developing new products, (3) starting new operations, and (4) making acquisitions. Gillette tried to do all four, with emphasis on the final three. Gillette has a spectacularly profitable razor business, which it gradually reduced in relative size as it acquired less profitable operations. If the company had regularly bought back its shares and raised its dividend instead of diverting its capital to cosmetics, toiletries, ballpoint pens, cigarette lighters, curlers, blenders, office products, toothbrushes, hair care, digital watches, and lots of other diversions, the stock might well be worth over $100 instead of the current $35. In the last five years, Gillette has gotten back on track by eliminating losing operations and emphasizing its core shaving business, where it dominates the market.

The reverse of buying back shares is adding more shares, also called diluting. International Harvester, now Navistar, sold millions of additional shares to raise cash to help it survive a financial crisis brought about by the collapse of the farm-equipment business (see chart). Chrysler, remember, did just the opposite—buying back stock and stock warrants and shrinking the number of outstanding shares as the business improved (see chart). Navistar is once again a profitable company, but because of the extraordinary dilution, the earnings have a minimal impact, and shareholders have yet to benefit from the recovery to any significant degree.

THE GREATEST COMPANY OF ALL

If I could dream up a single glorious enterprise that combines all of the worst elements of Waste Management, Pep Boys, Safety-Kleen, rock pits, and bottle caps, it would have to be Cajun Cleansers. Cajun Cleansers is engaged in the boring business of removing mildew stains from furniture, rare books, and draperies that are victims of subtropical humidity. It's a recent spinoff from Louisiana BayouFeedback.

Its headquarters are located in the bayous of Louisiana, and to get there you have to change planes twice, then hire a pickup truck to take you from the airport. Not one analyst from New York or Boston ever visited Cajun Cleansers, nor has any institution bought a solitary share.